

Transformation of HR roles through People Analytics: A case study on implementation of SAP Success factor by Berger paint Bangladesh

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1. Introduction

In the recent competitive business landscape era organizations are shifting from traditional approach to transformational HR approach. Gradually they are focusing more on building a strong workforce by treating their people as one of the most valuable assets. Because it's only possible for the organization to be one step ahead in their industry when their team constantly comes up with more innovative ideas and their employees are flexible enough to adapt themselves with the fast forwarding changes as fast as possible. However, building a skilled workforce and retaining them can be a complex process. And there comes the role of people analytics. People analytics is a data centric approach which manipulates employee data to get insight about patterns, trends and correlation by using advanced algorithms, calculations and logic commands. And SAP successfactors is one of the advanced hr software platforms which operates based on people analytics. This platform extracts and represents data in a meaningful manner and provides insights in a form of report; which enables hr professional to take data driven decisions on major hr based areas like performance management; talent acquisition; compensation management (Sahoo,2019).

Berger Paint limited is one of the leading organizations in the painting industry of Bangladesh. Lately the company has been witnessing significant organizational growth. However sustaining the growth can also be challenging as involves increased functionality. One of the major challenges they faced during that time was talent acquisition and retention. The study has focused on the challenge a hr personnel might face due to the growth of the firm and what steps they have addressed to get back on the track. The objective of this case study is to showcase how transformative HR approach is becoming significantly vital for today's organizations to make strategic decisions for the organization.

To prepare the case initially primary data have been collected through interviews and surveys. In the finding section; the challenges faced by the company have been broadly discussed and in the analysis section it has been highlighted how they have managed to address the challenges and what was the scenario afterwards they managed to address the challenge.

2. Methodology :

To prepare the case data have been collected from interviews and surveys. Interview was conducted to get in depth insight about how the organization managed to address their challenges through implementing one of the widely used enterprise software like SAP. And a survey was conducted on 10 of the employees from different departments of Berger to get insight about the post implementation scenario of the SAP ; which basically showcases how employees are reacting towards this change.

3. Literature Review :

Madhu (2019) stated that in the traditional HR approach the role of the HR department could not

be measured and the way other departments prepare sales report or audit report hr could not prepare such a data based report. However the emergence of transformative HR has changed the whole scenario. Because now HR follow the evidence based approach where they conduct every hr related functions based on the data from sources like appraisal reports or self assessment surveys. This is why previously the contribution of the HR department in making strategic decisions was not taken into consideration but now HR plays the role of equal to the business partner of a firm when it comes to making strategic decisions. Now hr relies on quantifiable data like revenue per employee, operation costs per work team to provide preventive measures and insights to track productivity and efficiency of the firm.

HR is gradually shifting to the world of data centric solutions, therefore it must leverage its ground in employee advocacy, advancement and understanding. In order to do that they must focus on three actions. Firstly, they can ease into HR analytics by investing more time and attention to retain employee buy-in. Secondly, they need to emphasize the objectivity of data centric decision making processes. Last but not the least, HR professionals also need to act empathetically towards those who are going to be affected by those decisions. (Lipkin, 2015) Previously many research work has been conducted on people analytics however less attention was given on presenting how the corporate world is actually relying on people analytics to conduct hr functions.

4. Findings: Company And The Problem Background

Originating from England, Berger Paint started its journey in Bangladesh back in 1970. With experience of around 250 years the company is still thriving in the painting industry. The company's mission is to increase their turnover by 100 percent every 5 years. With around 1000 employees Berger is operating at around 12 different sales depots around the country.

As per the company's mission Berger has succeeded to increase its turnover every four years. However, in order to keep up with the increasing customer demand along with maintaining the products and services quality ; they were looking forward to recruiting more employees from different departments like sales, production, and supply chain. They wanted to improve employee experience both for its new and old employees. Therefore their HR team had to focus on delivering valuable strategic projects. The HR functions of the company were following manual processes which were not connected to other departments. For instance the employee data were not integrated with the other departments like the production or sales department and the hr team always had to keep the current update manually. Additionally there was no consistency in tracking employees which kind of created a challenge for the hr team to evaluate the employee performance and set their goal and objective . The recruitment process of the company was also not organized as it used to take place through mails and paper resumes. The whole process was time consuming and more complex. Also the employee onboarding experience was also not up to the mark.

5. Discussion

5.1 Analysis of Interview:

Based on the interview which took place with Assistant Manager X (Appendix 1) states that their entry level recruitment; employee onboarding , goal and objectives are settled in the SAP platform. For recruitment they outlined the required skills for a specific role in the organization.

She stated that “I am a HR personnel and definitely my required skill sets will differ from someone who is working in the Finance department. Where I need to be competent enough with communication; maintaining confidentiality or good presentation skill ; on the other hand employees from Finance need to be good with numbers and preparing reports”. Therefore the data type for recruitment is job descriptions . The next few phases in recruitment for instance assigning applicants with a task or setting interview schedule are prepared through SAP. Previously which used to take place through mail. About the effectiveness of the SAP Manager X that “For sure SAP has streamlined the whole process. For instance before implementation of SAP I have to manually prepare the interview schedule. And it was so time consuming that I could not contribute myself in any other roles. So as you can say as a resource of my organization SAP has made me more efficient and effective.” About setting goals and objectives Manager X claims that SAP has a default setting which consists of some parameters like Financial/ Customer Satisfaction/ Internal Growth. And at the beginning of each year they set those parameters for their organization. The goal and objective of employees are set aligning with the organizational goal. To evaluate those goals and objectives job details like qualifications; skills and responsibilities are given preference just like recruitment. Manager X stated that “During evaluation we follow performance metrics. In the Y axis we keep the goals and objectives and in the X axis the scores are given”. Along with their supervisor, employees themselves conduct these performance metrics. Through this self assessment approach employees score themselves on how they have performed in achieving the given goals and objectives in the beginning of the year. Regarding employee onboarding Manager X mentioned that the employee onboarding experience enhanced a lot right after implementation of SAP. She stated that “ Previously new employees had to wait for a long time for their laptop or stationeries. However, now the situation has completely changed . Now the IT team gets notified through SAP as soon as a new employee joins and prepares their workstations beforehand. Same goes for those who manage stationeries and other required materials of an employee”. However Ms.X also added that onboarding is the newest feature of SAP. Therefore we are facing some technical errors with the software itself. They are communicating with the SAP team to sort it out. SAP is still working on their onboarding’s functionality. Regarding the challenges the organization is facing due to the implementation of the software . Manager X conveyed that even though Berger welcoming more freshminds but a majority of their employees have been working here for around 20/25 years. Who age around 45 years or more. In contrast SAP is the newest addition to their work and to some extent they are facing difficulties to get along with it. She also added that considering the situation they are trying to keep the process as convenient as possible.

5.2 Analysis of Survey

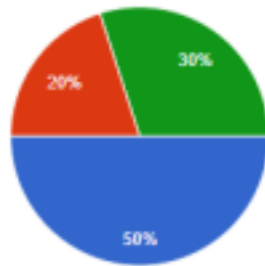
The survey was conducted to investigate the employee’s reaction about the implementation of SAP Successfactor. All the employees were asked for their opinion towards their organization’s process of goal and objective setting through a data centric software. Even though half of these responses were positive in terms of effectiveness of this approach, the other half of them agree with the idea that solely relying on data based software might not optimize overall organizational growth. Rather it will be most effective if the whole process is more collaborative where goal and objective setting process will take place; combining SAP and employee's supervisor/team lead and their work mate.

What is your opinion about the integration of SAP SuccessFactors?

 Copy

(Even though SAP SuccessFactors is a HR tool but as an employee in general how you feel about the idea that your yearly goals and objectives are being set through a data centric software ?)

10 responses



- I think the idea is pretty much effective
- I think the idea is effective but solely relying on data based software might not optimize overall organizational growth
- I don't think the idea is effective rather I support manual performance evaluation or goal setting & monitoring process w....
- I think whole process need to be collaborative where performance evaluation or goal setting & monitoring...

One of the rising debates about data based software is privacy. Therefore the purpose of this section was to figure out what Berger's employees think about this aspect. However, even though a majority of the employees disagreed with the fact that their privacy will be intervened through their employee data, a portion of them think otherwise.

Implementing SAP SuccessFactors might raise concern with employee data and intervene employee's privacy

10 responses



- Strongly Agree
- Agree
- Neutral
- Disagree
- Strongly Disagree

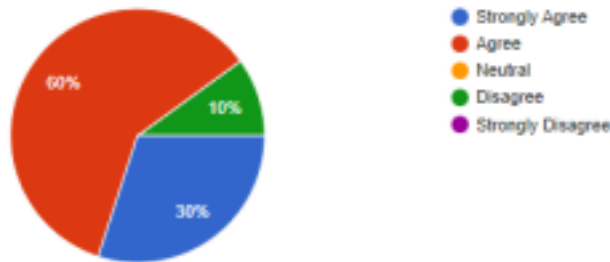
Around 90% of the employees agree with the fact that there is a lack of enough training and support resources for employees to run an advanced software like SAP in Bangladesh. As gradually companies are implementing sap this might affect the long term performance of the company.

According to Global Innovation Index Bangladesh ranked 92th among 132 nations in terms of Knowledge and Technology outputs



Considering the fact it can be concluded that there is lack of enough training and support resources for employees to run an advanced software like SAP in Bangladesh

10 responses



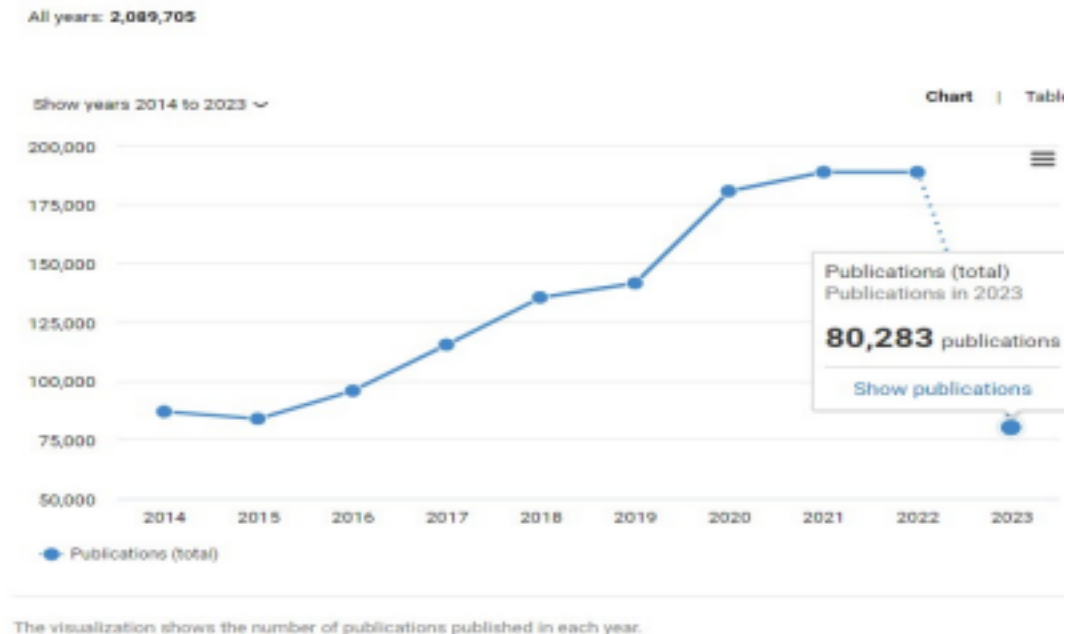
6. Recommendation :

- From survey analysis it is visible that a generous amount of employees still think that their privacy will be intervened because of the employee data . And this might create challenges for the company in the long run. Therefore it is highly suggested that organizations promote more transparency in the whole process .
- Around 90% participants of the total survey agreed with the fact that there is a lack of enough training and support resources for employees to run an advanced software like SAP. Therefore future research would be beneficial if it is able to figure out how to facilitate employee competencies so that they can get along with these organizational softwares.
- Software like SAP heavily rely on data to generate any report . Therefore the quality and accuracy of the data need to be maintained for optimal functionality.
- SAP stores business data which can be confidential therefore it is highly suggested to ensure a robust security system in order to avoid any unwanted circumstances like cybersecurity threats.

7. Conclusion :

To conclude this case highlights that the significance of data centric decision making approach has increased now more than ever. The external environment of every organization is changing so drastically and if they want to focus on long term sustainable growth they have to adopt a transformative HR approach. Which allows them to conduct every HR functions aligned with the organization's strategic goal.

Exhibit 1:



**Figure is showing the number of publications published on People Analytics
(Source: Dimensions)**

Exhibit 2:



**Figures showing the search interest of last five years in Bangladesh on topics like data analytics;
HR analytics; People analytics, Employee analytics (Source: Google Trend)**

Reference

- Sahoo, M. B. (2019). People Analytics and Disruptive Technologies are Transforming Human Resources Roles. *Southwestern Business Administration Journal*, 18(1), 4.
- Lipkin, J. (2015). Sieving through the data to find the person: HR's imperative for

balancing big data with people centricity.

Teaching Notes:

Synopsis

This case will allow students to have insight about how transformative HR is leveraging employee data to make evidence based strategic decisions. This case is applicable for an undergraduate program for the Human Resource Management courses which includes courses like strategic human resource management; change management; manpower planning and forecasting. As per the company's mission Berger has succeeded to increase its turnover every four years. However, in order to keep up with the increasing customer demand along with maintaining the products and services quality ; they were looking forward to recruiting more employees from different departments like sales, production, and supply chain. The HR functions of the company were following manual processes which were not connected to other departments. For instance the employee data were not integrated with the other departments like the production or sales department and the HR team always had to keep the current update manually. Additionally there was no consistency in tracking employees which kind of created a challenge for the hr team to evaluate the employee performance and set their goal and objective . The recruitment process of the company was also not organized as it used to take place through mails and paper resumes. The whole process was time consuming and more complex. Also the employee onboarding experience was also not up to the mark. Soon enough Berger realized the need for the HR transformation. They implement SAP success factors. The automated process collects and analyzes employee data from every department and gives a common platform to evaluate employee performance; recruitment and retention and set goals and objectives for each employee aligning with the company strategy. This study will enable to showcase how HR is gradually shifting to the world of data centric solutions and facilitating productivity and effectiveness of the firm.

Key discussion points in the class:

1. People analytics – based on the contemporary situation
2. Employee data – from various secondary sources
3. Strategic HR
4. Transformative HR

Learning Objectives:

1. To understand the SAP success factors
2. To understand the automated process
3. To understand the transformative HR
4. To understand the Strategic HR (solutions and facilitating productivity)

Methods:

The case study utilized mixed methodology. First, secondary data was utilized from various sources such as Google trend and other websites. After that a person administered interview was conducted with SAP experienced employees to go in depth of the phenomenon.

Assignments questions:

From the above case study, could you please answer the following questions?

1. What are the key SAP success factors in Bangladesh?
2. How to ensure the automated process successfully?
3. What sort of HR role is the best to utilize?
4. What are the challenges?
5. What is the role of data centric decision making process in the context of transformative HR?
6. How can enhancing employee experience affect the strategy of the firm?
7. “The HR team of Berger can be referred as the business partner of the organization” - do you agree with the statement? Why or why not?

Suggested Core Reading:

1. Gaur, B., Shukla, V. K., & Verma, A. (2019, April). Strengthening people analytics through wearable IOT device for real-time data collection. In *2019 international conference on automation, computational and technology management (ICACTM)* (pp. 555-560). IEEE.
2. Tursunbayeva, A., Di Lauro, S., & Pagliari, C. (2018). People analytics—A scoping review of conceptual boundaries and value propositions. *International Journal of Information Management*, 43, 224-247.
3. Hota, J., & Ghosh, D. (2013). Workforce analytics approach: An emerging trend of workforce management. *AIMS International Journal*, 7(3), 167-179.
4. McCartney, S., & Fu, N. (2022). Promise versus reality: a systematic review of the ongoing debates in people analytics. *Journal of Organizational Effectiveness: People and Performance*, 9(2), 281-311.

Appendix: 1 Interview

Position: Assistant Manager, Culture and Employer Branding

Job duration in Berger Paint Bangladesh : 4 years

Gender: Female

Question:1 For how long Berger has been using SAP?

Answer: Berger has been using SAP for around three years.

Question:2 The utilization of SAP Successfactor can be really diversified. Can you tell me specifically in which hr activity you are taking assistance from SAP? (e.g: recruiting management/ compensation management/ succession planning/ manpower forecasting) **Answer:** Yes SAP has different modules for these activities however currently we are using SAP for recruitment, onboarding and setting goals and objectives.

Question: 3 As you mentioned you are using SAP for recruitment processing. So there's several phases in recruiting (e.g: job posting/CV screening/interview/negotiation) and is everything conducted through the software or are there some specific phases?

Answer: Not every phase conducts through the software however a major amount of activities in the requirement process conduct through SAP. Basically for senior level or executive posts we directly appoint someone with the assistance of headhunters but in entry level job positions the recruitment takes place in SAP. Which usually starts with setting up the competency framework.

Later on all the applicants need to open an account in SAP. And through the same platform a task assigned to the selective ones. And setting the interview schedules takes place in SAP as well.

Question: 4 What kind of data are being used for goal & objective setting? **Answer :** Usually SAP has its own default system. Which consists of some parameters like Financial/ Customer Satisfaction/ Internal Growth. So at the beginning of each year we set those parameters both for our organization and individual employees. Then during evaluation a self assessment approach is being followed. Where both employees and their supervisor score them in terms of those pre decided parameters.

Question: 5 What were the most noticeable changes after the implementation? Did it actually make the HR process effective and efficient?

Answer: Yes for sure it has streamlined the whole process. For instance before implementation of SAP I have to manually prepare the interview schedule. And it was so time consuming that I could not contribute myself in any other roles. But now the situation has changed completely. Also previously the employee onboarding experience was not quite satisfactory which enhanced a lot with the assistance of SAP.

Question:6 Is there any challenges your organization is facing due to the implementation of this software?

Answer: Yes there have been some issues we are facing however we are taking measures to address those situations. Most of our employees have been working here for around 20/25 years. Who age around 45 years or more. In contrast SAP is the newest addition to their work and to some extent they are facing difficulties to get along with it. And secondly, onboarding is the newest feature of SAP. Therefore we are facing some technical errors with the software itself. However we are communicating with them to sort it out. SAP is still working on their onboarding's functionality.

Appendix: 2

Which department are you currently working in? *

- ☐ Research and Development (R&D)
- ☐ Supply Chain
- ☐ Sales
- ☐ Marketing
- ☐ HRM
- ☐ Finance
- ☐ IT
- ☐ Legal
- ☐ Production
- ☐ Other: _____

Are you familiar with SAP? *

- ☐ Yes
- ☐ No

Does your department use software which is/are integrated with SAP? *

- ☐ Yes
- ☐ No
- ☐ Maybe

What is your opinion about the integration of SAP SuccessFactors? *
(Even though SAP SuccessFactors is a HR tool but as an employee in general how you feel about the idea that your performance evaluation; goals setting and constant monitoring is taking place based on a data centric software ?)

- ☐ I think the idea is pretty much effective
- ☐ I think the idea is effective but solely relying on data based software might not optimize overall organizational growth
- ☐ I don't think the idea is effective rather I support manual performance evaluation or goal setting & monitoring process where these activities will be done through my supervisor/ team heads; my workmate
- ☐ I think whole process need to be collaborative where performance evaluation or goal setting & monitoring processes will take combining SAP and my supervisor/team lead and my work mate

Implementing SAP SuccessFactors might raise concern with employee data and intervene employee's privacy *

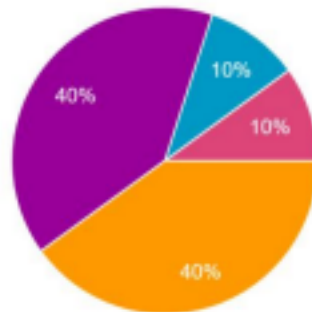
- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

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Considering the fact it can be concluded that there is lack of enough training and support resources for employees to run an advanced software like SAP in Bangladesh *

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

Which department are you currently working in?

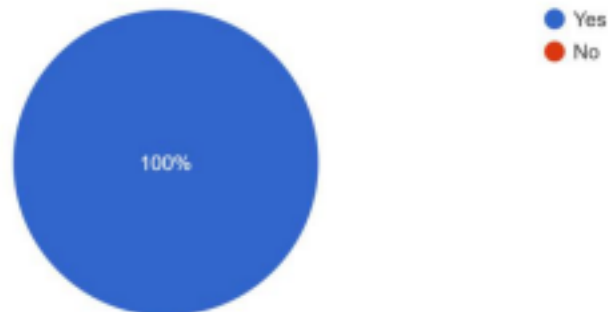
10 responses



- ☐ Research and Development (R&D)
- ☐ Supply Chain
- ☐ Sales
- ☐ Marketing
- ☐ HRM
- ☐ Finance
- ☐ IT
- ☐ Legal
- ☐ Production

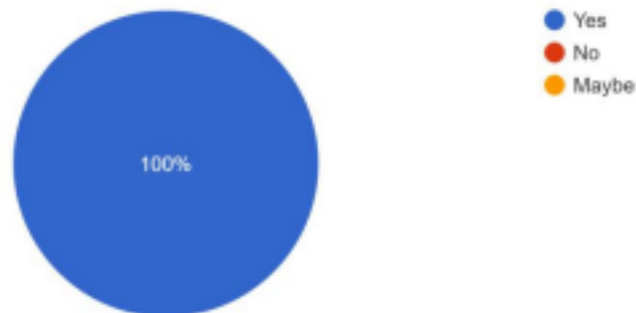
Are you familiar with SAP?

10 responses



Does your department use software which is/are integrated with SAP?

10 responses



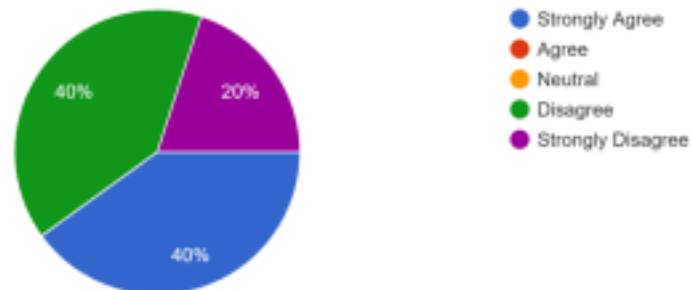
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10 responses



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10 responses



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10 responses

